Chapter Nine

State of the Services Economy

Services Economy Was Small and Highly Disorganized at Independence

India did not have any system worth the name to estimate GDP and income at the time of Independence. The National Income Committee, appointed in August 1949, made the first estimates of national income for 1948–49, which were released in April 1951.

The Committee estimated India's national GDP/GVA/income in 1948–49 at Rs 8710 crore. Of this, agriculture's contribution was the largest at Rs 4150 crore, which was close to half the income at 47.6 per cent. Mining, manufacturing and hand trades (handicrafts and handlooms) economy were estimated at Rs 1500 crore or 17.2 per cent of the total economy. Services were organized in two broad groups of commerce, transport and communications and other services.

Communications (post, telegraph and telephone) contributed GDP of only Rs 30 crore (0.3 per cent). Railways made a contribution of Rs 200 crore or 2.3 per cent of the economy. The share of organized banking and insurance was also quite small at Rs 50 crore, contributing 0.6 per cent of GDP. Other commerce and transport, which grouped all the unorganized trade and transport services including services of indigenous moneylenders, contributed a large amount of Rs 1420 crore or 16.3 per cent of GDP. The services of professions and liberal arts were recognized as a separate group and contributed Rs 320 crore of national income (3.7 per cent). Domestic service was also recognized as a separate group and contributed Rs 150 crore of income (1.7 per cent). The house property group, essentially rental